Leading by Leveraging Culture

"Culture eats strategy for lunch"

Penn Engineering

EAS5450: Class #26

1

Culture

A system of:

- **Shared values**
  - Defining what is important
  - Standards against which behavior can be evaluated; **and**
- **Norms**
  - Defining appropriate attitudes & behaviors
  - Demonstrate & exemplify the shared values

2

Culture

Values	Norms	vs	Rules
What's important!	**Demonstrate the values!**		**Codified directives**
• *Dedication & work ethic*	• *Early start, intensity, late finish*		• *8:30AM start, coffee break, lunch break, 5:00PM end*
• *Trust & respect*	• *Willingness to debate & listen, flexibility, empowered employees*		• *Meeting schedules, chain of command, sick day policy*

3

Strong Cultures Improve Performance

- **Energizes employees**:
  - Appeals to higher ideals
  - Rallies around meaningful goals
- **Shapes employees' behaviors**

Conforming to the norms

- **Focuses on organizational priorities**
- **Provides autonomy:**
  - Necessary for excellence, and
  - Flexibility without formal controls

4

Leadership Through Culture

The less formal direction we give employees about executing strategy, the more ownership they take over their actions and the better they perform.

5

Culture is an Effective Leadership Tool if…

- **It is strategically relevant:**
  - Group norms shape behavior more powerfully than either monetary rewards or physical environment.
  - Best achieved in young firms.
- **The culture is strong:**
  - High levels of agreement about values.
  - High levels of intensity about these values (the norms).
- **The culture promotes innovation and change:**
  - More value on creative skills than on critical skills.
  - Encourages inter-personal risk-taking, expressing ideas.
  - People feel empowered.
  - Leaders move quickly to implement promising ideas and change.

6

Leveraging Culture for Performance

1. **Recruit and hire (and fire) for cultural fit.**
2. **Train and socialize employees in the culture.**
3. **Connect:**
   a. Informal (intrinsic) rewards of culture, with
   b. Formal (extrinsic) reward system.
4. **"Walk the talk" consistency…**
   – Employees attend vigilantly to leaders' behavior.

7

After product-market fit and business model validation…

Scaling a Startup: People and Organizational Issues

Penn Engineering

8

Startups That Last

- **Hire functional experts ahead of the curve**
  - Fill gaps in your execution team
  - Be objective about your founder's role
- **Add management structures & processes**
  - While maintaining informal ties across the company
  - Beware of bureaucratic threats to your entrepreneurial souls
- **Build planning & forecasting capabilities**
- **Spell out & reinforce cultural values**

9

5 Challenges in Scaling a Startup

1. **Designing Organizational Structure**
2. **Developing Management Systems**
3. **Managing Executive Transitions**
4. **Structuring the Board & Governance**
5. **Maintaining Entrepreneurial Culture**

10

1. Designing Organizational Structure

- **"Jacks-of-all-trades" ➡ Specialists**
- **Functional Teams with defined roles**
  - Cross-Functional Conflict

FIX IT!

- **Managers:**
  - "Someone we can learn from"
  - "Someone to break ties"
- **Communications Architecture**

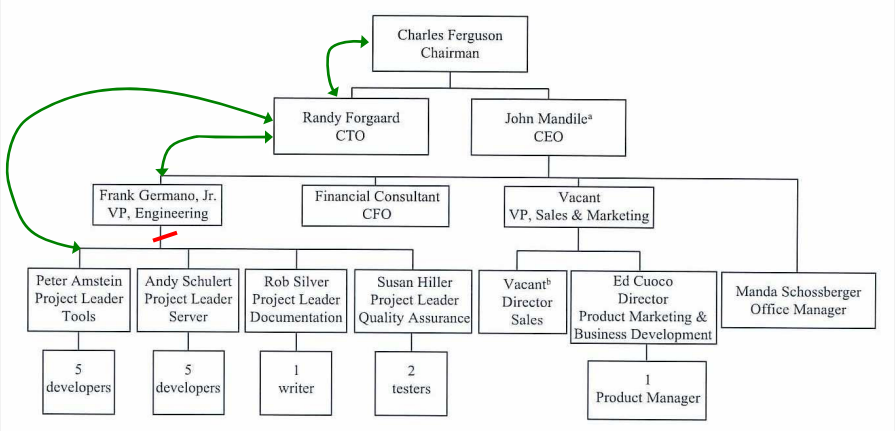
11

Communications Architecture

- **What needs to be communicated?**
  - Most important knowledge
  - Who needs it?
- **What needs to be decided?**
- **Who makes decisions?**
  - Maximize # of decisions by a knowledgeable manager
- **Optimize communication & decision paths**
- **Pay attention to effective but non-optimized paths.**

12

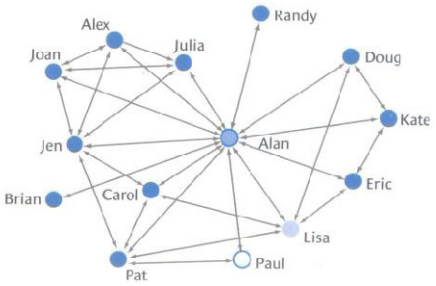
"High Status Friend" / "Shuttle Diplomat"



13

Finding Central Connectors and Peripheral Specialists

Even though Lisa is the head of the department, Alan is considered the go-to person for information within this informal network. He plays the role of central connector. Meanwhile, Paul operates on the perimeter of the network, offering expertise to members of the group as it's needed, but not necessarily connecting with many other colleagues frequently. Paul plays the role of peripheral specialist.



HARVARD BUSINESS REVIEW

"The People Who Make Organizations Go – or Stop"
HBR, June 2002

14

2. Developing Management Systems

- **Formalize decision-making processes**
  - Minimize # of decision makers
- **Sooner rather than later:**
  - Avoid errors, confusion, inconsistencies
  - Avoid excessive workload:
    - Delegate!

"When I'm in total control, I'm going too slow."
- M. Andretti

15

Product Development Scaling

- **OLD PROCESS (<1993)**
  - Informal
  - Autonomous teams
  - Unpredictable
  - No manufacturing role
    - "Thrown over the wall"
  - No cross functionality
- **NEW PROCESS (1993+)**
  - Structured, well-defined
  - Multi-functional teams
    - Engineers
    - Designers
    - Marketing
    - Manufacturing
  - Formal stage-gate phase reviews
  - Reduced unpredictability

16

Examples of Management Systems & Processes…

Financial Management	Sales/Marketing Management
• Sales projections • Cash flow projections • Operating budget & opex approval process • Capital budget & capex approval process • Cash management systems, e.g., procedures for paying vendors, collecting receivables, etc. • Payroll systems • Dashboards for key financial & operating metrics Human Resource Management • Recruitment process (reference checks, etc.) • T&E policies & reimbursement procedures • Codes of conduct • Organizational charts • Written job descriptions • Orientation programs for new employees • Company newsletters • Performance reviews with written objectives • Compensation linked to performance assessment • Procedures for terminating employees Product/Engineering Management • Product portfolio plan • Product profitability analysis • Roadmaps for individual products • Business plans for proposed products • Product Requirements Documents specifying proposed products' functionality • Processes for testing product concepts • Processes for staffing new projects • Processes for prioritizing projects • Systems for tracking progress vs. project milestones	• Customer acquisition cost analysis • Customer profitability/lifetime value analysis • Account prioritization systems • Reports on sales pipeline • Sales force training programs • Sales quotas for individual reps • Sales force compensation plans • Customer relations management system • Systems for capturing customer feedback Operations/Customer Service Management • Procurement policies • Production planning/scheduling systems • Inventory tracking systems • Scripts & escalation procedures for customer service reps Business Development Management • Partnership development plans • Policies for review/approval of proposed partnerships by affected functions • Partnership monitoring systems Strategic Planning • Definition of strategic (non-financial) milestones

Source: Davila, et al., "Building Sustainable High-Growth Startup Companies," California Management Review, Spring 2010.

17

3. Managing Executive Transitions

- **Early-stage success does not predict later stage performance:**
  - Nearly impossible to make the judgment in advance.
  - Hiring scalable exec's too early is a *horrible mistake*...
    - Wait until you have a validated business model.
- **Managing at scale is a learned skill rather than a natural ability:**
  - Founders can be coached by mentors.
  - Big company exec's lack initiative to function without resources.
- **Difficult to hire ahead of the curve…**

"… one of the hardest aspects of scaling."

Paige Miller (Nanogene Case)

18

4. Structuring the Board & Governance

- **Small, working Board of Directors is more effective than large:**
  - 5 members ideal.
- **Beware of conflicting director agendas.**
- **Compliance issues.**
- **Rotate directors off as company scales.**

19

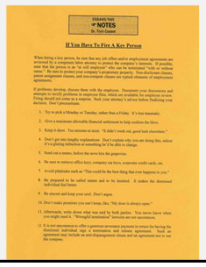
5. Maintaining Entrepreneurial Culture

- **Hire those with "right kind of ambition."**
- **Cultural Fit ≠ Team Homogeneity**
  - Find somebody you completely trust – and who is nothing like you.
- **Minimize political infighting**

20

The Right People

- **Core values and character attributes**
  - Foundations of trust
- **Drive to make company succeed**
  - Work ethic
  - Dedication
- **It's who you pay, not what you pay them…**
  - The right people do the right things regardless of what you pay them.
- **Get rid of the wrong people quickly**
  - When in doubt, don't hire.



21

- **The Basics: Mission and Values**
- **Establish operating systems, but…**

  Avoid Bureaucratic Awfulness.
- **Candid appraisals**
  - 6 Mo. or annual reviews
  - Lose the underperformers

22

6-Month or Annual Reviews

- **Recognize & reward achievements**
- **Identify problems & solutions**
- **Set goals**
- **Plan personal growth**
  - Training
  - Education opportunities

23

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  Avoid Bureaucratic Awfulness.
- **Candid appraisals**
  - 6 Mo. or annual reviews
  - Lose the underperformers
- **Keep the spirit and energy alive!**

24

Secret Sauce to Building a Strong Company

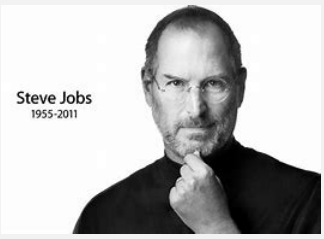
- **Don't forget where you came from.**
- **Act like a startup.**
- **Be ready to adapt.**

As you get bigger, you need
- Guardrails
- Process
- Communication

David Quattrone, Co-Founder, EE'96

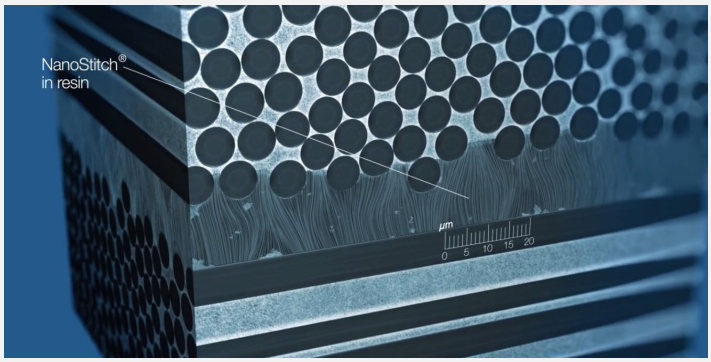
cvent

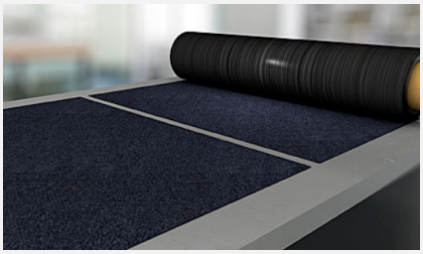
25



"Apple is organized like a startup
… we're the biggest startup on the planet!"

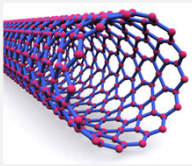
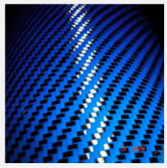
26





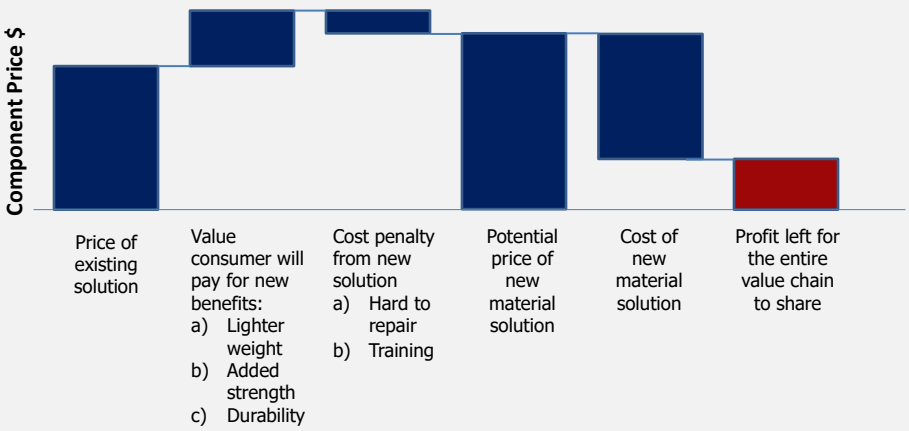
27

Catch-22 of Materials Companies: C Fiber Example

Materials Innovators	Tier Two	Tier One	OEM	End User
				
VACNT Resins	Prepreggers	Component Manufacturer	Product Manufacturer	You!

28

If you are creating value, need to share it across the value chain



29

The N12 Case

- **Scaling a small, informal, loosely run startup**
- **Organizational structure**
  - Horizontal differentiation
  - Vertical differentiation
  - Standardization
  - Formalization
  - Integration
- **Producing, marketing and selling a novel, unproven product based on cutting –edge technology**
  - Crossing the chasm

Making the Best Better

30

What were the major stages of N12's scaling up process?
How well has the company handled them?

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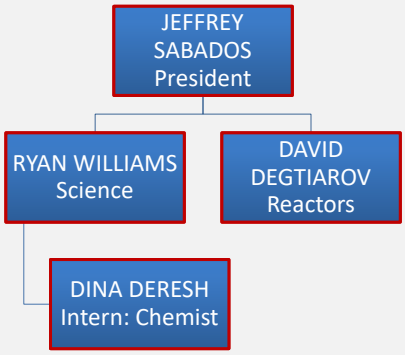
31

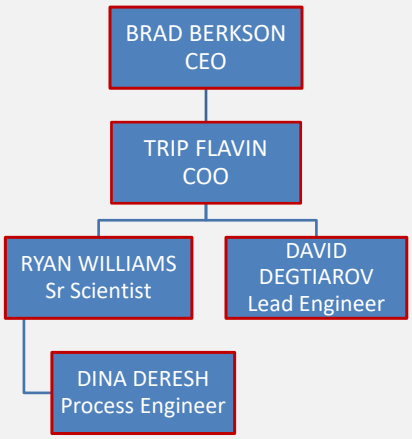
2011-2012: 4-Person Startup Team



$750,000 Seed – 4 Investors

32

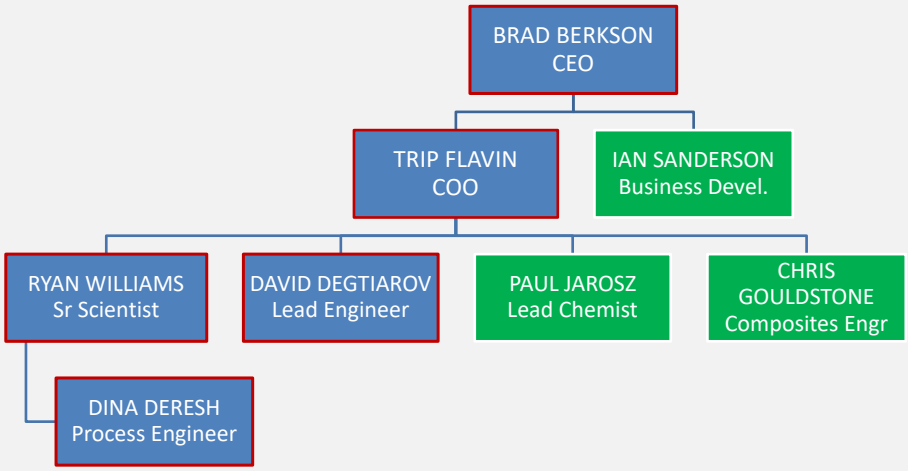
2013: 5-Person Team



$2M Series A – 20 Investors

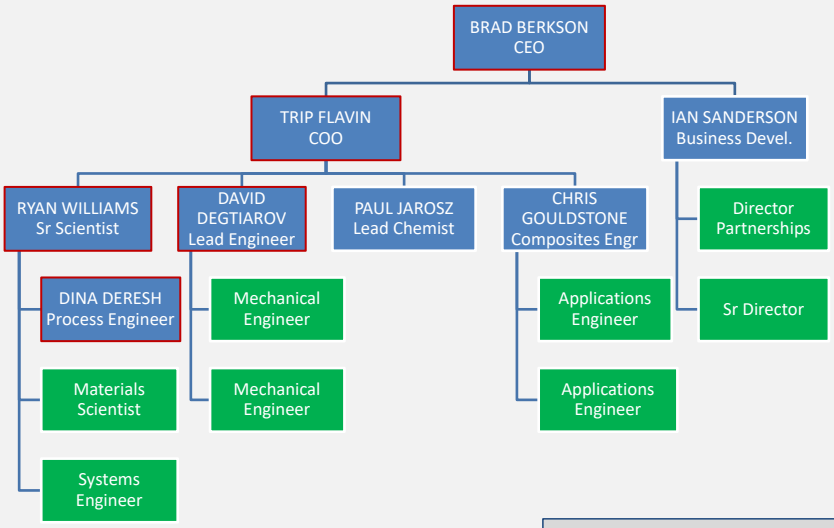
33

2013: 8-Person Team



34

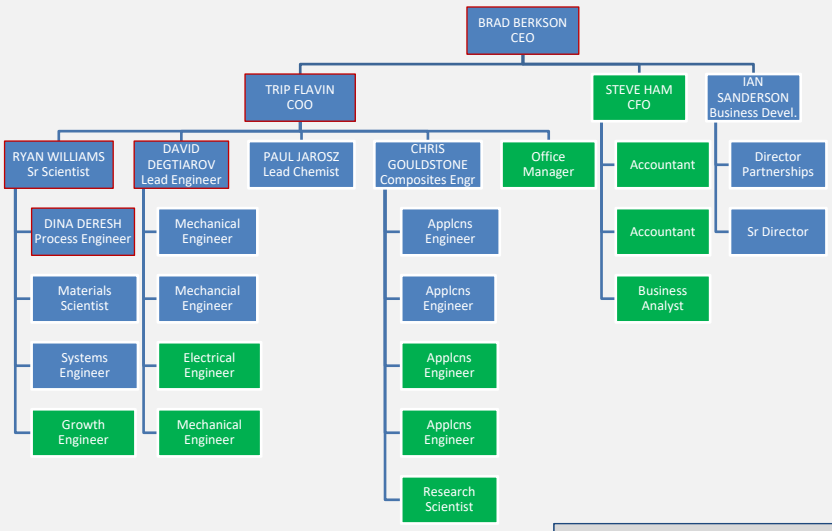
2014: 16-Person Team



$7M Series B – 60 Investors

35

2015: 27-Person Team



$20M Series C – 65 Investors

36

"I came to N12 as a hardcore engineer. But I had to evolve professionally. I had to learn how to build a team, how to adapt."

"Everyone that was once involved with the company who would not or could not show flexibility, either in opinion or in approach, is no longer here."

- David Degtiarov

Making the Best Better

37

Brad Berkson, CEO

Trip Flavin, COO

Berkson's early 2016 promise to investors: by 2018…

- *100X increase in capacity*
- *Huge cost reductions*
- *$60M annual revenues*
- *$12.3M EBITDA (>20%)*

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38

Building a business:
What is your evaluation of N12's go-to-market strategy?

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39

Staged, multi-segment marketing plan…

- **Consumer products**
  - High-end bicycles

- **Automotive**
  - Race cars

- **Aerospace & defense**

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40

Future prospects:
What remains to be done to "button up" N12?

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42

N12 Epilog…

- 2017: 22 employees *(Pitchbook)*
- Jan 2018: Berkson's employment ends *(LinkedIn)*
- March 2018: Positive press *(Composites World)*
- May 2018: Ryan Williams' employment ends *(LinkedIn)*
- July 2018: "Toxic CEO," former engineer *(Glassdoor Review)*
- Nov 2019: Auction of equipment *(Hilco Industrial)*

Making the Best Better

43